

Alternative Real Estate — Legacy Joint Ventures vs. Direct-Hold Solutions

\$250M identical equity · Y1–Y10 · Woodfine Capital Projects · June 2026

The same \$250M, two structures — what each one does with it, and for whom

What the **Direct-Hold** structure builds

Retaining developer profit as common equity, it funds a phased build to about **41% more** square footage (~**1,608,705** additional sq ft) and a higher terminal multiple (**4.76x** vs 2.96x) — at higher peak leverage and a later income date.

What the **Legacy JV** delivers

Full **2,298,150 sq ft** online by **Year 4**, a lower flat **3.0x** leverage, and cash to investors from **Year 4** — about **\$231M** cumulatively by Year 10. Earlier income, lower leverage, simpler structure.

The one fork that explains it

The JV pays developer profit and operating cash **out**; the Direct-Hold structure **retains** it. That single extract-vs-retain choice drives every difference in scale, leverage, cash timing and terminal return that follows.

ALTERNATIVE REAL ESTATE — LEGACY JV VS. DIRECT-HOLD

Section 1 of 5 — Same \$250M, two machines

The one fork — cash extracted vs. equity retained — read through scale and leverage

All series generated by the forecast engine (D7 Legacy JV · D2 Professional Centres Canada LP). Debt to equity is measured on the same \$250M of contributed capital for both. Y1–Y10. No Excel source.

Equity (both)

\$250M

identical input

JV square feet

2,298,150

full from Y4

Direct-Hold square feet

3,906,855

full from Y8

JV cash to investors

from Y4

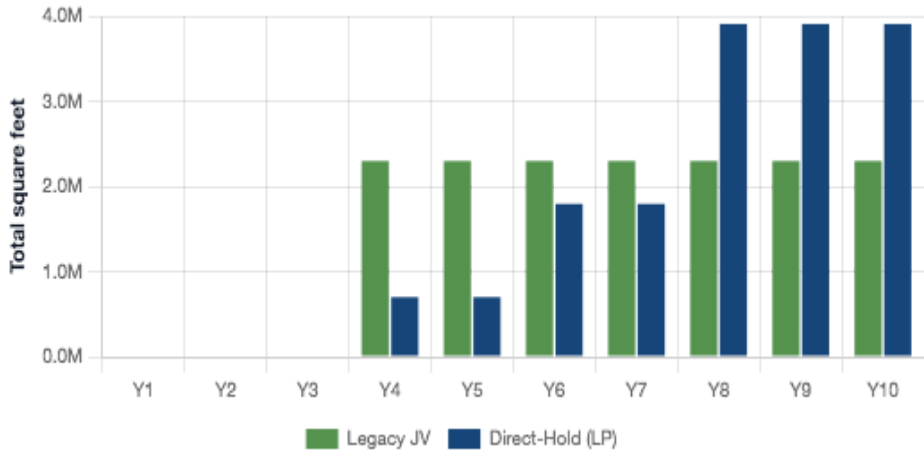
~\$231M by Y10

Direct-Hold additional SF

+41%

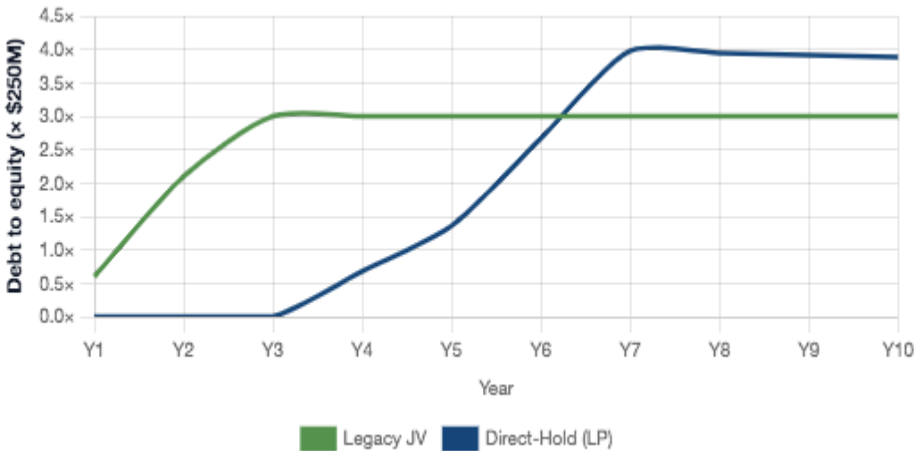
+1,608,705 sq ft

PORTFOLIO SCALE — SQUARE FEET CONTROLLED



Square feet online by year. The JV brings its full footage on at stabilisation (Y4); the Direct-Hold structure phases up and ends about 41% larger (+1,608,705 sq ft).

LEVERAGE PATH — DEBT TO EQUITY ON THE SAME \$250M



The JV holds a flat, lower 3.0x; the Direct-Hold structure ramps to a 4.0x peak then eases as stabilised value is recognised and debt is bought back.

YEAR-BY-YEAR — LEVERAGE AND SQUARE FOOTAGE (ENGINE-GENERATED)

	Metric	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
	DEBT TO EQUITY (ON \$250M CONTRIBUTED CAPITAL)										
1	Traditional / JV	0.60×	2.10×	3.00×	3.00×	3.00×	3.00×	3.00×	3.00×	3.00×	3.00×
2	Woodfine LP	—	—	—	0.68×	1.36×	2.67×	3.98×	3.95×	3.92×	3.89×
	TOTAL SQUARE FEET										
3	Traditional / JV	—	—	—	2,298,150	2,298,150	2,298,150	2,298,150	2,298,150	2,298,150	2,298,150
4	Woodfine LP	—	—	—	699,597	699,597	1,794,758	1,794,758	3,906,855	3,906,855	3,906,855

Forward-looking information (FOFI) — assumptions as at June 2026; actual results will vary. See Section 5.

ALTERNATIVE REAL ESTATE — LEGACY JV VS. DIRECT-HOLD

Section 2 of 5 — Where the Direct-Hold structure pulls ahead

Compounding scale · retained-equity reserve · loan-to-value that stabilises as leverage rises

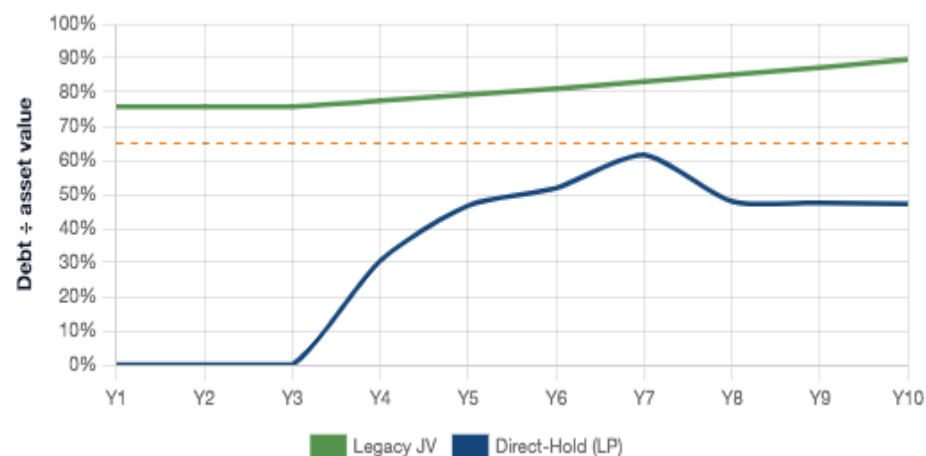
Because profit is retained rather than paid out, the Direct-Hold structure funds a phased build that ends with about 41% more square footage and a *falling* loan-to-value even as debt-to-equity rises — capital efficiency, not a financing assumption.

VALUE PER UNIT OF CAPITAL (\$100 INVESTED)



Both shown on an IFRS fair-value basis per unit, indexed to the \$100 capital reference. Direct-Hold NAV/unit compounds to ~\$392 with step jumps as phases complete; the JV's IFRS fair-value equity holds at ~\$204/share. (Accounting-basis caveat in Section 5.)

LOAN-TO-VALUE — DEBT ÷ ASSET VALUE



Direct-Hold LTV peaks near 62% during the leverage cycle then stabilises at about 47% at a 6.25% cap rate; the JV's book LTV rises as its depreciating asset base shrinks against fixed debt.

COMPENSATION TAKEN IN EQUITY BECOMES A STRUCTURAL RESERVE

Woodfine takes its development compensation in common equity rather than cash. Because developer profit is not extracted, it is retained as equity on the balance sheet, building a structural reserve that supports the structure through the leverage cycle — the direct driver of the additional square footage delivered on the same initial capital.

LEVERAGE SCALES, BUT LOAN-TO-VALUE MODERATES

Debt to equity scales to a peak of about **4.0x**, yet debt-to-asset value peaks near **62%** and then stabilises at approximately **47%**. Rising leverage on the contributed-capital base coincides with a moderating loan-to-value as stabilised asset value is recognised. The higher terminal outcome comes with higher peak leverage and a later income date — see Section 3.

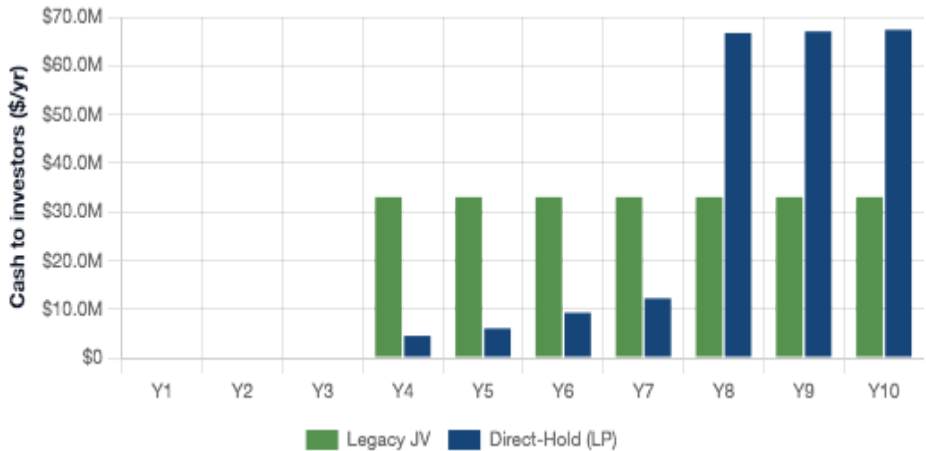
Direct-Hold figures: D2 Professional Centres Canada LP, engine-generated. Forward-looking — see Section 5.

Section 3 of 5 — Where the Legacy JV pulls ahead

Earlier full income · lower flat leverage · cash in hand · institutional debt discipline

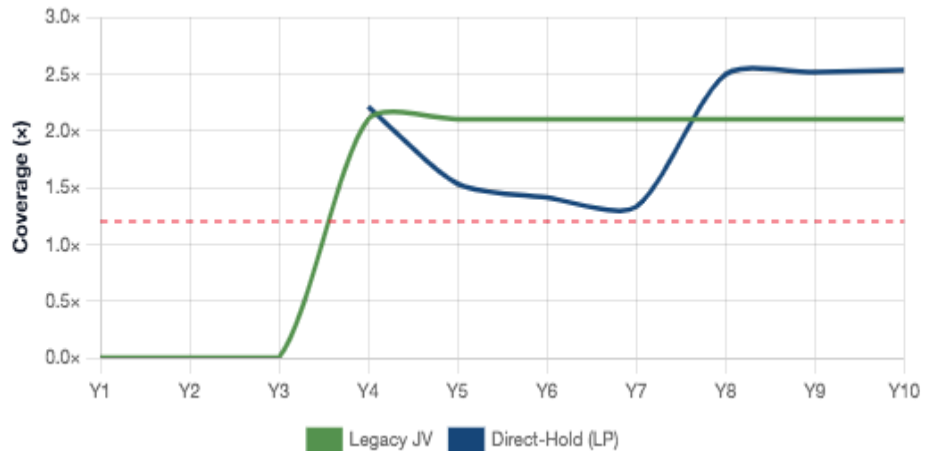
The comparison is two-sided. The single-shot Legacy JV carries structural advantages of its own — earlier income, a lower and steadier leverage and coverage profile, and real cash to investors years sooner.

CASH TO INVESTORS PER YEAR



The JV distributes cash from Year 4 (~\$231M cumulatively by Year 10); the Direct-Hold structure retains profit as equity and distributes little until the portfolio is fully generating. Front-loaded vs. back-loaded.

DEBT-SERVICE COVERAGE — VS THE 1.20x COVENANT



The JV holds a flat, comfortable coverage once stabilised; the Direct-Hold structure's interest coverage dips to a mid-build trough before rising. Lower, steadier leverage gives the JV a simpler risk profile through the build.

FULL SQUARE FOOTAGE ONLINE EARLIER

The Legacy JV draws a committed bank facility during construction and brings its full **2,298,150 square feet** online by **Year 4**; the Direct-Hold structure does not reach its full **3,906,855 square feet** until **Year 8**. The JV reaches full stabilised income several years sooner.

LOWER, FLAT LEVERAGE AND CASH FROM YEAR 4

JV leverage holds flat at about **3.0x** debt to equity against a Direct-Hold peak near **4.0x**, and under its 2/20 arrangement it distributes cash to shareholders from **Year 4** — about **\$231M** cumulatively by Year 10. The Direct-Hold structure retains developer profit as equity; favourable for compounding, but the JV delivers realised cash to investors earlier.

INSTITUTIONAL DEBT DISCIPLINE AND SINGLE-SHOT SIMPLICITY

The JV's construction-to-permanent bank facility is governed by institutional lending standards and covenants, and the structure is single-shot: leverage does not compound and there is no phased re-issuance to manage. For an investor who values predictability, lender discipline and a non-compounding leverage path, that simplicity is a structural advantage.

ALTERNATIVE REAL ESTATE — LEGACY JV VS. DIRECT-HOLD

Section 4 of 5 — How it resolves: value and return on the same dollars

Terminal multiple and rate of return · which is “ahead” depends on the investor

By the close of the cycle the Direct-Hold structure produces a higher multiple and rate of return, but the Legacy JV has already returned most of its value in cash. Which structure is “ahead” depends on whether an investor values realised cash and simplicity or terminal compounded value.

JV MOIC (Y10)

2.96×

IFRS FV basis

Direct-Hold MOIC

4.76×

IFRS FV basis

JV IRR (pre-tax)

13.1%

IFRS FV terminal

Direct-Hold IRR

17.5%

investor fraction

JV cash by Y10

~\$231M

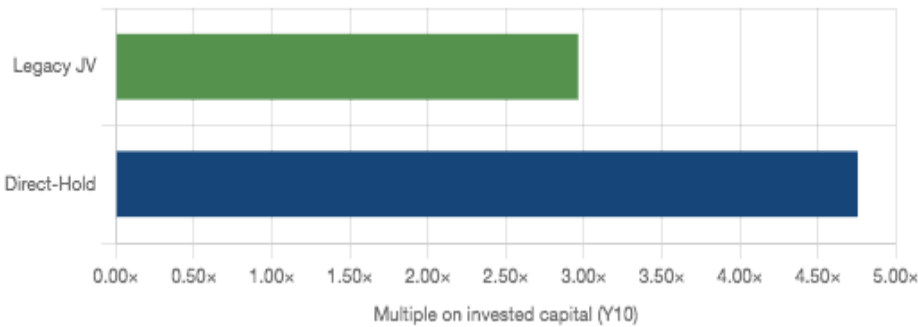
from Year 4

Direct-Hold NAV/unit

~\$392

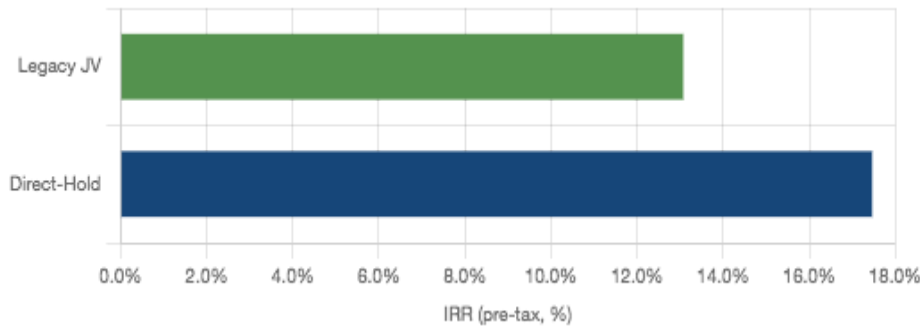
on \$100 invested

MULTIPLE ON INVESTED CAPITAL (Y10)



Total value returned per dollar of equity, IFRS fair-value basis. Direct-Hold 4.76× vs Legacy JV 2.96×.

INTERNAL RATE OF RETURN (PRE-TAX)



Annualised return on the investor cash-flow series, IFRS fair-value terminal. Direct-Hold 17.5% vs Legacy JV 13.1%.

HIGHER TERMINAL VALUE IS NOT STRICTLY “BETTER”

The Direct-Hold structure's higher multiple and rate of return reflect retained, compounded value realised late; the Legacy JV converted more of its result into cash the investor already holds, earlier, at lower leverage. The two structures are measured on different accounting bases (Section 5), so the value figures are stated each on its own basis and should not be compared naively.

MOIC and IRR are engine-computed (xirr over per-year investor cash flows). Forward-looking — see Section 5.

Section 5 of 5 — Basis of preparation, accounting basis & caveats

Engine provenance · ASPE vs IFRS measurement asymmetry · forward-looking statements

BASIS OF PREPARATION

All figures are engine-generated; this document performs no independent calculation. Legacy JV series from the D7 model (legacy_jv_proforma); Direct-Hold series from the D2 Professional Centres Canada LP model (pc1p1_proforma). Debt to equity and all per-capital figures are measured against the same \$250,000,000 of contributed capital, so every comparison is on identical initial equity.

Accounting-basis asymmetry. The Legacy JV is presented on an ASPE basis — book equity depreciates over a 50-year schedule while IFRS fair-value equity is flat — whereas the Direct-Hold structure is presented on an IFRS fair-value (mark-to-model) basis at a 6.25% cap rate. The value and NAV figures for the two structures are therefore not measured on the same basis and are stated each on its own basis. Woodfine Direct-Hold Solutions issue Investment Units and are direct-hold structures / an issuer; they are not redeemable collective-investment vehicles.

FORWARD-LOOKING INFORMATION (FOFI)

This tear sheet is future-oriented financial information prepared on the stated assumptions as at June 2026. References to planned capital recycling, intended portfolio growth, target leverage and expected returns are forward-looking; MOIC and IRR are management estimates. Actual results, measurements and outcomes will differ — potentially materially — and readers should not place undue reliance on them. For information only; not an offer to sell or a solicitation to buy securities; securities may be offered only pursuant to an applicable prospectus exemption under National Instrument 45-106. Prepared and presented consistent with NI 51-102 and OSC SN 51-721.